	Arun's capital A/c	Dr.		1,500	
	Babu's capital A/c	Dr.		1,500	
	Charles's capital A/c	Dr.		1,500	
	To Bank A/c				4,500
	(Cash withdrawn by the partners)				

Illustration 20

Vasu and Devi are partners sharing profits and losses in the ratio of 3:2. They admit Nila into partnership for 1/4 share of profit. Nila pays cash ₹ 3,000 towards her share of goodwill. The new ratio is 3:3:2. Pass necessary journal entry on the assumption that the fixed capital system is followed.

Solution

Calculation of sacrificing ratio

Sacrificing ratio = Old share – New share

Vasu $= \frac{3}{5} - \frac{3}{8} = \frac{24-15}{40} = \frac{9}{40}$

Devi $= \frac{2}{5} - \frac{3}{8} = \frac{16-15}{40} = \frac{1}{40}$

Therefore, sacrificing ratio is 9:1

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c	Dr.		3,000	
	To Vasu's current A/c (9/10)				2,700
	To Devi's current A/c (1/10)				300
	(Cash brought for goodwill credited to old partners' capital account in sacrificing ratio)				

2. When the new partner does not bring goodwill in cash or in kind

If the new partner does not bring goodwill in cash or in kind, his share of goodwill must be adjusted through the capital accounts of the partners. The following journal entry is passed.

Date	Particulars		L.F.	Debit ₹	Credit ₹
	New partners' capital A/c	Dr.		xxx	
	To Old partners' capital / current A/c (in sacrificing ratio)				xxx

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